

Future Insights: The New Media & Immersive Tech Report 2021

 **Beauhurst**
HUCKLETREE

Contents and methodology

Foreword	1
Summary of the New Media and Immersive Tech sector	2
New Media and Immersive Tech companies	3
Spotlight: Mesmerise	4
New Media and Immersive Tech map of the UK	5
Spotlight: FitXR	6
Investment trends	7
Industry deep-dive: Extended reality	8
Spotlight: TESLASUIT	9
Top investors	10
Industry deep-dive: The future of gaming	11
Spotlight: nDreams	12
Emerging sectors and trends	13
About	14

Beauhurst identifies ambitious businesses using eight triggers (outlined at the bottom of this page) that suggest a company has high-growth potential. More detail on Beauhurst's tracking triggers is available [via its website](#).

Equity investment

To be included in the analysis, any investment must be:

- Some form of equity investment
- Secured by a non-listed UK company
- Issued between 1 January 2011 and 31 December 2020

Announced and unannounced fundraisings

An unannounced fundraising is an investment made into a private company that is completed without press coverage or a statement from the recipient company or funds that made the investment. These transactions are an integral part of the UK's high-growth economy, accounting for around 70% of all equity transactions.

High-growth triggers



Equity investment



Academic spinouts



Scaleups



High-growth lists



Accelerator attendance



Major grant recipients



MBO/MBI



Venture debt



Foreword

Avee Viravaidya, Membership Manager, Huckletree White City

We're excited to be working with Beauhurst to produce this series of three industry reports examining the UK companies that will shape the future of how we consume retail, media and food.

In the third of three reports, we focus on the New Media and Immersive Industries, including XR (Extended Reality) and The Future of Gaming. We're looking at how brave new brands in these spheres are influencing the future of how we create and consume content, game, and immerse ourselves in the changing landscape of the online and digital spaces.

The evolution of the internet is gathering speed, which follows a new wave of approaches to content creation and digital creativity. As we hurtle towards the Metaverse and Web 3.0, we're taking a look at the new media brands, creative agencies and immersive tech companies that are rising to the challenge of making their mark on a new iteration of the internet.

With increasing accessibility around XR technology and the future of gaming looking progressively more immersive — the way we're reacting to digital content at scale is changing. From online publishing and social media to marketing and advertising technology, industries across the sector adapt and put their lens on this new reality

The high-growth New Media and Immersive Tech sector houses 2,289 active companies. Almost three-quarters of these active companies are young, at seed or venture stage — a promising indication for the investment ecosystem. London is a hotspot for activity in the sector (1,175 active companies), with Brighton and Hove (51) showing itself as a city to watch. Manchester (43), Glasgow (42), Bristol (41), and Edinburgh (41) are also generating New Media and Immersive Tech innovation. The industry has collectively raised

£4.3b of investment between 2011 and 2020. The space is also home to some of the UK's most innovative gaming and immersive tech brands, including software developer, Improbable, who achieved unicorn status in 2017.

This report will home in on two sub-industries: XR and The Future of Gaming. XR encompasses VR (Virtual Reality) and AR (Augmented Reality). With 141 active high-growth companies, this space has sparked investor curiosity around the potential of the technology. Between the beginning of 2020 and the end of November 2021, the sector saw £45.6m equity investment. This amounts to 33% of the total funding received by the industry since 2011.

The Future of Gaming is an exciting sub-industry with 401 active high-growth companies, making it the dominant sub-space within New Media and Immersive Tech. Equity investment into this space has been plentiful, with high-growth companies attracting £1.46b across 938 fundraising rounds since 2011. Gaming is also trending towards a more immersive experience for users, trailblazing a high-tech path for this generation of gamers. The gaming industry has also been praised for its ability to reap success outside of London, with companies in Edinburgh

and Nottingham reaching high valuations.

Huckletree is built on the motto that "No Mind is an Island." We believe you can't change the world alone, which is why we're on a mission to help the most innovative companies, from startups right the way through to MNEs, take leaps and do braver work together.

We're more committed than ever to creating the space and environment for teams to work, grow their ventures, collaborate and pioneer whatever comes next. Our Futures Hub in Huckletree White City is home to some of the UK's leading New Media and Immersive Tech companies.

The campus, located within the iconic White City Place development, is part of a bold new chapter in the rich creative history that sits at the centre of West London — an area already brimming with high-growth New Media and Immersive Tech companies. It's a dedicated haven for startups and global brands paving our future digital experience — how we game, create, consume, watch and move.

We hope this report is both engaging and informative, and we're delighted that it's landed in your hands.

Summary of the New Media and Immersive Tech sector

The world of New Media and Immersive Tech represents the continuing innovation of mass communication and the technologies that enable it. Companies that operate in this industry fall under the sectors of online publishing, social networks, films and TV, photography, videography and video content, virtual reality, video games, and marketing and advertising technology.

Among the 3,282 ambitious New Media companies that form the lifetime total of businesses underpinning this report, 2,289 remain active in the high-growth ecosystem, 241 have exited via an IPO or acquisition, and the remaining 752 are no longer in operation. Over a 10 year period, these companies have raised a total of £4.3b of equity investment across 4,629 deals.

Almost three quarters of the businesses currently active in the fast-growth space are young companies at seed or venture stage, indicating more opportunities for investors in the future. Startups in the full New Media cohort also have 853 accelerator attendances between them — a sign of their innovative nature and promise for growth. In addition, these companies have received 690 grants with a combined value of £107m from a range of sources including Innovate UK, the Ministry of Defence, the European Commission, and Scottish EDGE.

2,289

active high-growth
New Media companies

3,282

lifetime total New Media companies
(active, exited or dead)

4,629

rounds of equity investment
2011-2020

690

number of grants
2011-2020

853

accelerator attendances
2011-2020

£4.3b

total equity investment
raised 2011-2020

£107m

total grants received
2011-2020

40

academic spinouts

New Media and Immersive Tech companies

The New Media and Immersive Tech industry holds enormous potential for innovating all types of media from films and TV to gaming and adtech. One of the biggest names in the New Media and Immersive Tech cohort is software developer Improbable which facilitates large-scale multiplayer virtual worlds; these have been used in gaming, but

also have applications as synthetic environments simulating real world problems in areas such as defence. Launched in 2012, the company has secured £461m of equity fundraising and achieved unicorn status in 2017.

Another high-growth player in the gaming industry is Tripledote Studios. It

rocketed from a pre-money valuation of £17.5m in 2018 up to £273m in 2021.

Other innovative companies are developing highly realistic characters and digital human faces to disrupt the gaming and virtual storytelling arenas, such as UCL spinout Synthesia and University of Ulster-born HUMAIN.



SPOTLIGHT: Mesmerise

Mesmerise

London

Activity	VR and AR video content
Incorporation date	2016
Total funding raised	£1.56m
Headcount (FYE 20)	21

Co-founded by Andrew Hawken and Daglar Cizmeci, Mesmerise generates video content using virtual reality, augmented reality, and immersive simulations and games. The technology firm works with businesses on a wide range of projects such as virtual reality events and conferences, and replicating physical stores for customers as a revolutionary advertising experience.

Over four equity rounds in 2017, 2018, 2019 and 2020, Mesmerise has secured a total of £1.56m of investment funding. With headquarters in Westminster, the quickly growing firm also increased its headcount from five in 2017 to 21 in 2020.



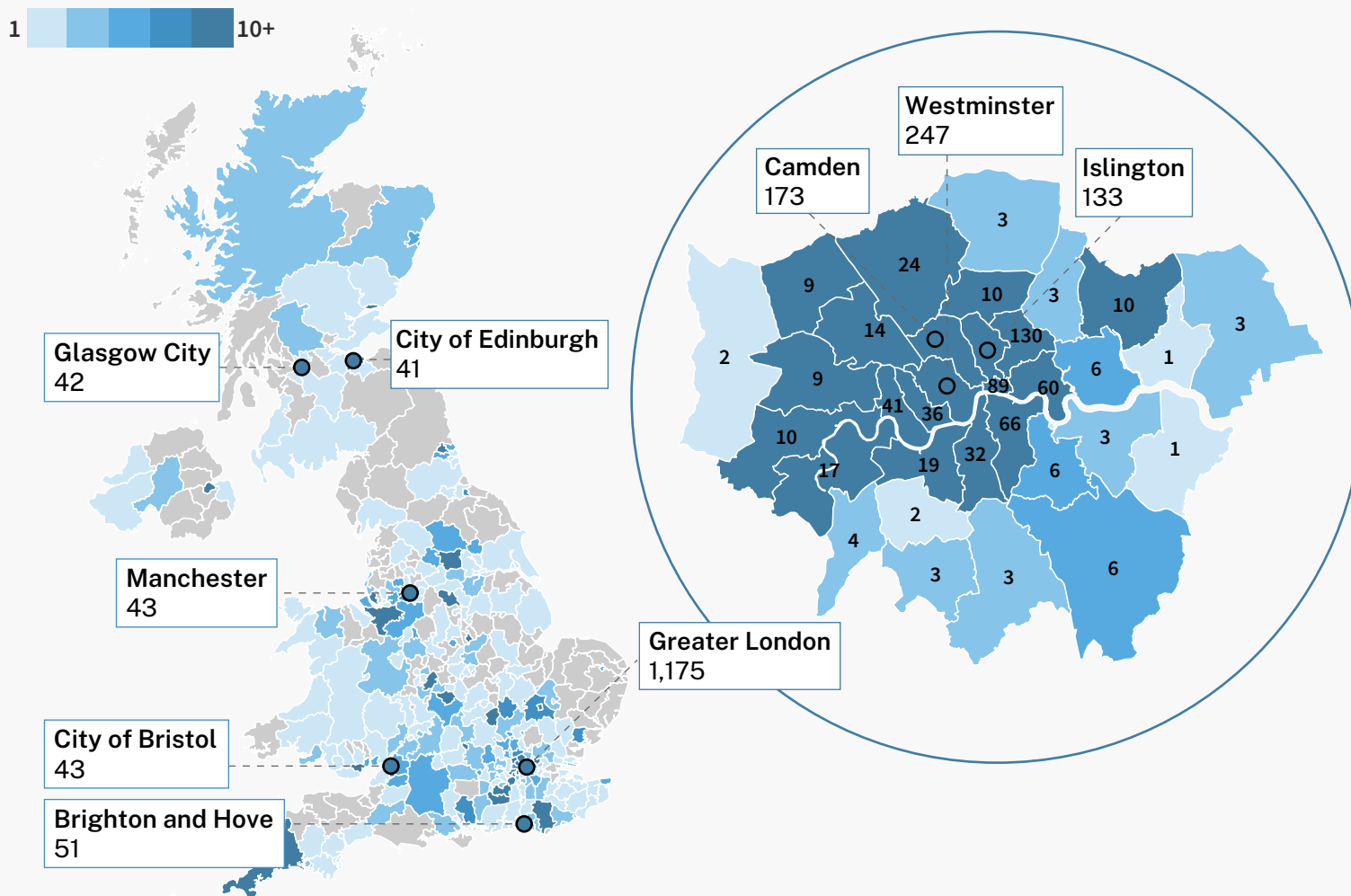
New Media and Immersive Tech map of the UK

With just over half of New Media and Immersive Tech companies currently active in the high-growth ecosystem located in London, the capital is a centre for innovation in videography, film, TV, social networks, video games, and advertising technology. The local authority with the highest company concentration is Westminster with 247 businesses, including The Ink Factory, V-Nova, and Ampliance.

A New Media hub also exists in Brighton and Hove, which is the local authority with the most New Media companies outside of London. Between 2011 and 2020, these companies raised £17.6m of equity investment across 60 deals, and 78% of these were secured in the seed-stage.

Investment outside London is vital to new ecosystems emerging as well as local and regional growth. The top sources of investment for New Media companies outside the capital are crowdfunding platforms Seedrs and Crowdcube, followed by investors Mercia Fund Managers, Scottish Enterprise and the Development Bank of Wales.

Number of high-growth New Media and Immersive Tech companies in the UK by local authority area (2021)



SPOTLIGHT: FitXR

FitXR

London

Activity

Extended reality fitness coaching

Incorporation date

2017

Total funding raised

£6.91m

Headcount (FYE 20)

32

With the intention of innovating mobile apps for fitness, FitXR simulates the experience of the gym by developing software that creates a virtual fitness club. The app combines intense full body workouts with immersive virtual reality fitness content and classes, allowing users to meet and exercise with others from their own homes.

FitXR is backed by fundraising worth £6.91m, constituted by a £952k round in 2018 from funders TenOneTen Ventures and Maveron, and a £5.96m combined equity and loan deal in 2020 from the same investors alongside BoostVC, Hiro Capital and Innovation Loans.



RANK	PLAYER	BEST STREAK
1	Rob938Int	128
2	RubenHCuerda	36
3	Victor	64
4	kailin1289	56
5	raelmadrid	(T)
6	Rob955	22
7	INTERMEDIATE	0

Investment trends

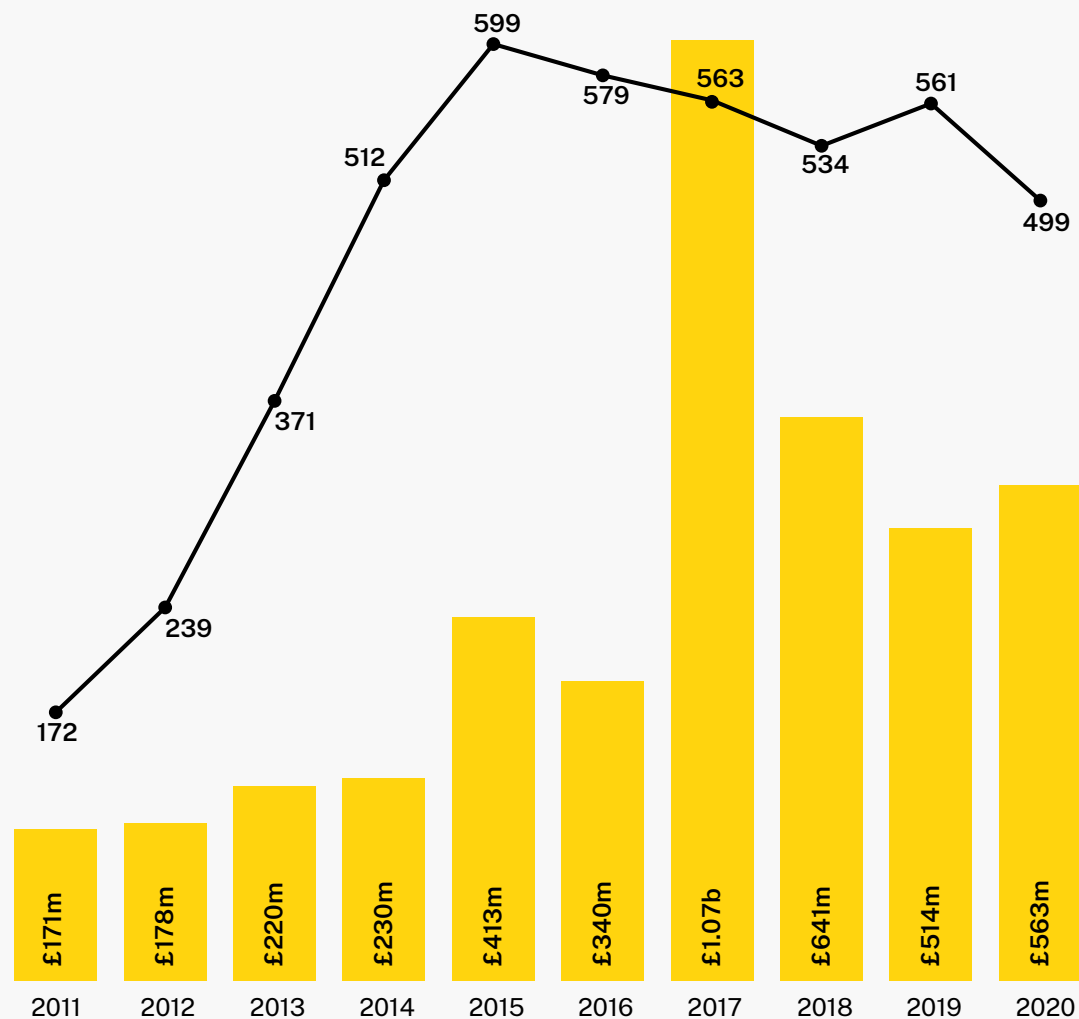
Despite the number of deals somewhat in decline since 2015, the volume of equity investment secured by New Media and Immersive Tech companies has remained healthy in recent years. Notably, the total investment of £563m raised in 2020 is very much in the same range as £514m in 2019 and £641m in 2018, suggesting the sector proved reasonably resilient during a pandemic year.

Over the decade, 2017 saw a particular peak in equity volume due to a £389m deal secured by software developer Improbable and a £136m round raised by films and TV firm The Ink Factory. Other large deals for ambitious New Media companies in the 2011 to 2020 timeframe include Moonbug's 2018 and 2020 rounds, which were worth £115m and £92.5 respectively.

Around 40% of the 4,629 deals secured were the first time that the company had raised equity. Clear portions of the total £4.3b raised by high-growth New Media businesses went to emerging industries: £275m to Artificial Intelligence, £240m to AdTech, £200m to EdTech, £110m to virtual reality, and £109m to e-sports.

Equity investment into New Media and Immersive Tech companies (2011–2020)

— Number of deals ● Amount raised (£)



4,629

rounds of equity investment
2011–2020

£4.3b

total equity investment
raised 2011–2020

Industry deep-dive: Extended reality

Extended reality (XR) is the combination of virtual reality (VR), where users enter immersive digital worlds, and augmented reality (AR), which combines virtual elements with real views for an enhanced experience. These technologies first appeared in the 1960s when the first head-mounted display was launched and the US military introduced the first flight simulator.

Within the high-growth space, investor interest has been spiked by the possibilities of XR. These companies have taken advantage of the evolving perception of human connection by advancing a novel environment in which users can communicate with people all over the world. The technology creates more authentic and engaging settings than those offered by traditional social media.

The COVID-19 pandemic increased interest in the XR industry, as lockdowns across the globe encouraged more open-minded attitudes towards the sector. Despite the easing of social distancing measures, the value of XR has been realised by many, as evidenced by investment trends. Since the start of 2020 and the end of November 2021, the sector saw £45.6m of equity investment – 33% of the total funding received by the industry since 2011.

141

active high-growth extended reality companies

£27m

value of equity investment
in 2020

36

number of equity deals
in 2020



DigitalBridge



Sen

Augmented reality (AR)

A key component of the XR industry is AR, where virtual elements are superimposed onto the real world, as opposed to the completely simulated experiences of VR. AR has a large number of applications across different sectors, from interior design experimentation before committing to costly renovation or seeing the fit of clothing before purchase, to training tools for medical staff or manufacturing workers.

Examples of high-growth companies operating in this space include DigitalBridge, which allows users to virtually decorate their homes to reduce retail returns and product waste. It has raised £4.72m of equity funding. Meanwhile, Sen uses AR and AI to stream satellite imagery of Earth and space. Sen has secured equity investment worth £4.25m.



Virtual reality (VR)

Despite much overlap between the two emerging sectors, more of the companies in the extended reality space are operating in VR than AR. VR refers to technology that creates a full immersive virtual environment. Creators of VR products hope to revolutionise lifestyle industries such as gaming, retail, and fitness, as well as work environments, including onboarding programs and virtual meetings.

Recipient of £4.73m of investment, Blend Media operates an online platform where users can upload 360° videos, access a large content library and connect with immersive technology experts. Games company MeetspaceVR operates a virtual gaming arena where players use their bodies as a game controller. It is backed by £2.45m of equity investment. Also in the VR gaming space is storytelling and immersive game experience company Maze Theory, supported by £3.12m of equity investment.

SPOTLIGHT: TESLASUIT

TESLASUIT

London

Activity	Biometric wearables
Incorporation date	2016
Total funding raised	£8.79m
Headcount (FYE 20)	N/A

Launched in 2016 with the aim of creating performance-optimising clothing, TESLASUIT has developed a range of products aimed at enabling communication between the human body and computer. The TESLASUIT, a two-piece full biometric bodysuit of a jacket and trousers, has been designed to improve human performance and training for complex tasks in settings from industrial to manufacturing to medical.

The company has attended the MassChallenge UK accelerator, a programme sponsored by firms such as JPMorgan Chase, Crowdcube, and Boston Consulting Group, which facilitates the growth of UK startups generating a positive social impact. TESLASUIT has benefitted from £8.79m of equity investment across six funding rounds.



Top investors

Crowdfunding is the dominant means of raising equity finance for the New Media and Immersive Tech cohort with 135 rounds raised via Seedrs and 86 via Crowdcube between 2011 and 2020.

Many of the 123 high-growth New Media companies across Scotland benefited

from funding from Scottish Enterprise — responsible for 42 deals. Next in the ranking is venture capital firm Ascension which been involved in 27 deals including investments in Poplar, Curiscope, Night Zookeeper, Rotor, Cooperative Innovations.

The top four ranking funds by total investment value — Horizons Ventures, Andreessen Horowitz, Temasek, and Softbank Vision Fund — all participated in the £389m deal made with simulation software developer Improbable in May 2017.

Top investors ranked by number of rounds of equity investment into UK New Media and Immersive Tech companies (2011–2020)

Seedrs	135
Crowdcube	86
Scottish Enterprise	42
Ascension	27
Mercia Fund Managers	25
SyndicateRoom	17
Octopus Ventures	16
Angels Den (Crowd Funding)	16
Jenson SEIS & EIS Fund	15
Angel CoFund	15
Indie Growth Fund	14
Entrepreneur First	14
North West Fund for Digital & Creative	13
North East Accelerator Fund	13
Wealth Club	12
24Havmarket	12

Top investors ranked by total value of equity investment into UK New Media and Immersive Tech companies (2011–2020)

Horizons Ventures	£410m
Andreessen Horowitz	£403m
Temasek	£389m
Softbank Vision Fund	£389m
Felix Capital	£213m
The Raine Group	£207m
Fertitta Capital	£207m
Archimedia	£138m
Natixis Coficiné	£136m
127 Wall Productions	£136m
Octopus Ventures	£93m
Goldman Sachs Growth Equity (GS Growth)	£92m
Livingbridge	£72m
NetEase (NTES) Capital	£71m
Index Ventures	£55m

Where funds co-invested with other funds, the total value of the equity deal is counted rather than the individual contribution of the fund, as this information is largely undisclosed.

Industry deep-dive: The future of gaming

The gaming industry has displayed a distinct ability to mould itself to the demands of a generation, transforming from a sector defined by traditional puzzles and board games to one of the UK's most technologically advanced fields. Equity investment into this space has been strong with high-growth companies attracting £1.46b across 938 fundraising rounds since 2011.

Looking to the future of gaming, technological advances suggest that gaming will transcend into a full or partial virtual reality — providing a more immersive experience for users and increasing player engagement. Companies working in the industry have enhanced games by stimulating specific sensations or tracking eye movements to create an individualised adventure.

When compared with other sectors, the gaming industry has been praised for its unique ability to thrive outside of London — a prospect funds are eager to engage with as they seek to explore regional investment opportunities. Businesses such as Build a Rocket Boy, based in Edinburgh, and Lockwood Publishing, located in Nottingham, have attracted large valuations — £111m and £92.2m respectively — showcasing the industry's potential for high-growth outside of the capital.

401

active high-growth future gaming companies

£188m

value of equity investment
in 2020

118

number of equity deals
in 2020

IMPROBABLE

Improbable develops and designs software and technology to underpin virtual gaming environments. It provides the necessary infrastructure to execute the vision of gaming studios.

Launched in 2012 by two computer science students from the University of Cambridge — Herman Narula and Rob Whitehead — the business has aimed to create new approach to virtual environments.

Improbable has attracted £461m of equity funding to advance this aim, attracting international investors including the Chinese firm NetEase Capital, Japan's Softbank Vision Fund and the Singapore-based fund Temasek. The company secured a valuation of £1.51b during its most recent funding round, catapulting Improbable to unicorn status.



Since launching in 2016, Tripledot Studios has amassed a wide portfolio of mobile gaming apps including Soduko, Blackjack and Solitaire. The company was founded by game creators Akin Babayigit, Eyal Chameides, and Lior Shiff to reimagine the nature of gaming studios. It has secured £63.3m of equity across three fundraising rounds. The most recent of these, in April 2021, valued the company at £204m, and attracted investors such as Access Industries and Lightspeed Venture Partners.

FLEXION

London-based Flexion offers an open and global distribution platform for android games, meaning developers can distribute games in more channels — such as the app stores of Huawei, Amazon, Samsung and Xiaomi. Flexion has raised £22.2m across six equity rounds since 2014 and also received a €1.90m grant in 2016 from Horizon 2020 to broaden the mobile applications market and avoid dominance by Google Play.

SPOTLIGHT: nDreams

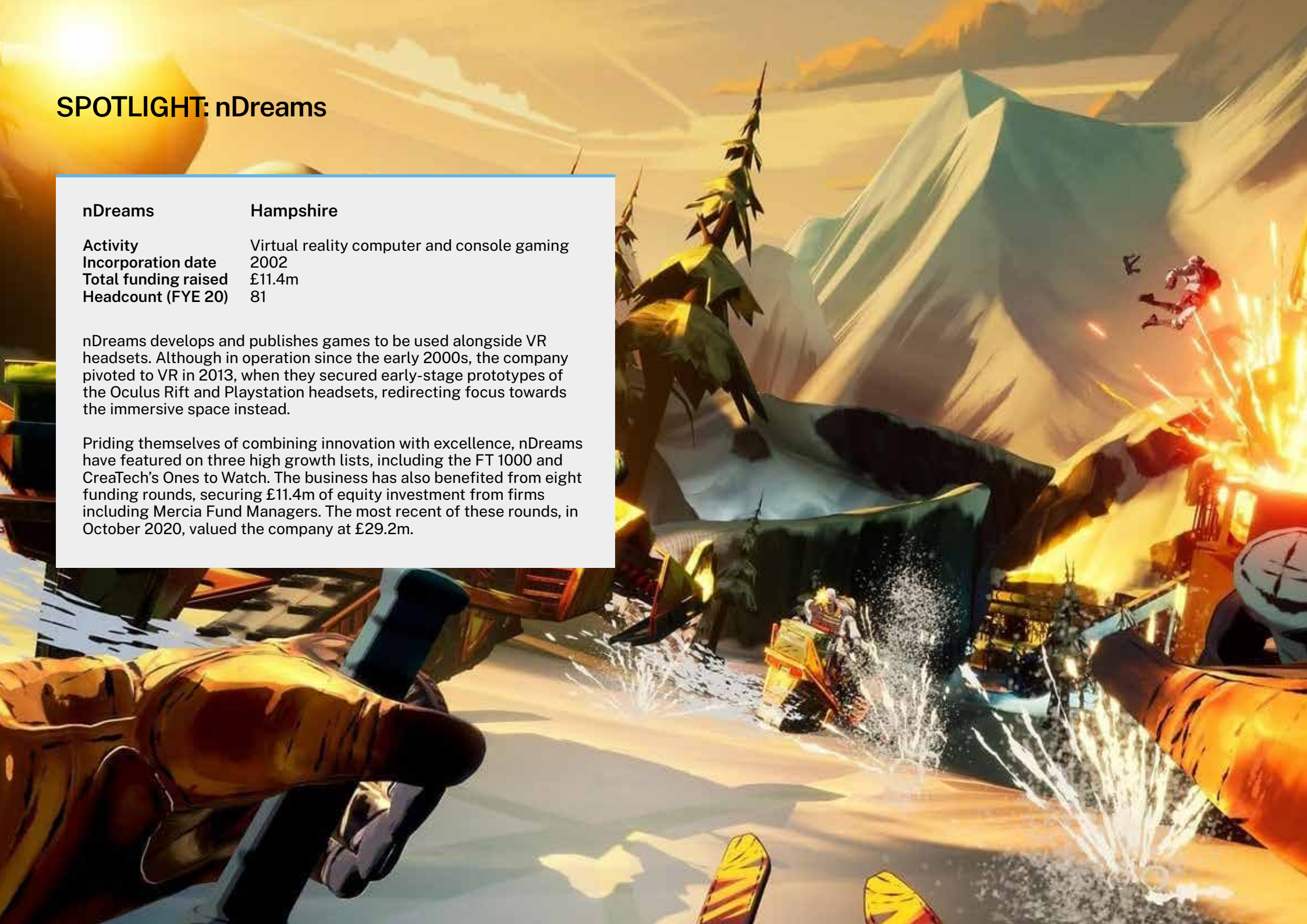
nDreams

Hampshire

Activity	Virtual reality computer and console gaming
Incorporation date	2002
Total funding raised	£11.4m
Headcount (FYE 20)	81

nDreams develops and publishes games to be used alongside VR headsets. Although in operation since the early 2000s, the company pivoted to VR in 2013, when they secured early-stage prototypes of the Oculus Rift and Playstation headsets, redirecting focus towards the immersive space instead.

Priding themselves of combining innovation with excellence, nDreams have featured on three high growth lists, including the FT 1000 and CreaTech's Ones to Watch. The business has also benefited from eight funding rounds, securing £11.4m of equity investment from firms including Mercia Fund Managers. The most recent of these rounds, in October 2020, valued the company at £29.2m.



Emerging sectors and trends

An emerging subsector is virtual reality (VR) with 123 high-growth companies currently active in the space. VR refers to immersive simulated experiences in virtual environments and has applications in gaming, entertainment, business and education.

VR companies that have raised the most equity include Disruptional, vTime, and The Imaginarium Studios. Immersive technologies are also being used to support learning. EdTech innovators include employee knowledge sharing platform Fuse and Hopster, an app providing educational TV for children.

Artificial Intelligence (AI) is another cutting-edge technology revolutionising a number of sectors including marketing and publishing. WeFarm has developed an AI-driven SMS tool to help farmers in remote communities to access a knowledge network and marketplace.

Emerging sectors by number of active New Media and Immersive Tech companies (2021)

Virtual reality	123
EdTech	86
Artificial Intelligence	85
Augmented reality	75
AdTech	70
Gamification	66
Esports	28
FinTech	21
eHealth	20
Drones	18
Services on demand	15
Blockchain	13
Digital security	11
Social shopping	10
Big data	10
PropTech	9
Wearables	9

Sustainability and New Media and Immersive Tech companies

All growing innovative companies, including those in New Media, and Immersive Tech need to consider their impact on the climate and the importance of sustainability. The video game industry is notoriously unfriendly to the environment, consuming staggering amounts of energy and hardware being built from plastic and mined materials such as gold, copper and zinc. Innovation in gaming could look like energy efficient devices, in-game nudges to power off consoles after play, and recyclable packaging and reuse of console parts.

In 2019, the UN Environment Programme launched Playing for the Planet, an initiative to encourage gaming firms to take these actions as well as participate in the environmental agenda through tree planting and plastic reduction. Big industry names have joined the Playing for the Planet Alliance, including Microsoft, Sony Interactive Entertainment, and SEGA.

Sustainability agendas are also being supported by the New Media industry in the form of education. Raising awareness for environmental concerns can be achieved through gaming, EdTech platforms, and perhaps most significantly, social networks. Consumers are able to gain more information than ever about the products they are purchasing and the materials they are disposing of. Virtual reality, augmented reality and Artificial Intelligence may have a role to play in transforming education about the planet and research on solutions to the climate crisis.

About

Beauhurst

CONTACT

4th Floor, Brixton House
2 Somerleyton Road
London
SW9 8ND

www.beauhurst.com
T: +44 (0)20 7062 0060
E: consultancy@beauhurst.com

Beauhurst is a searchable database of the UK's high-growth companies.

Our platform is trusted by thousands of business professionals to help them find, research and monitor the most ambitious businesses in Britain. We collect data on every company that meets our unique criteria of high-growth; from equity-backed startups to accelerator attendees, academic spinouts and fast-growing scaleups.

Our data is also used by journalists and researchers who seek to understand the high-growth economy, and powering studies by major organisations – including the British Business Bank, HM Treasury and Innovate UK – to help them develop effective policy.

For more information and a free demonstration, visit beauhurst.com

HUCKLETREE

CONTACT

18 Finsbury Square
London
EC2A 1AH

www.huckletree.com
T: +44 (0)20 3862 1400
E: info@huckletree.com

Huckletree is a coworking community of 3,000+ members across over more than 300 companies.

Our workspaces, across the UK and Ireland, are designed for the new world of work. Creative and modern, we curate each space around a sector or industry so that members work alongside the brightest talent, connect with the right businesses and collaborate with curious minds relevant to them.

For more information, visit our website: huckletree.com

HUCKLETREE



Editor Henry Whorwood
Production Dan Robinson, Freya Hyde, Alice Williams

© Beauhurst 2022